

QIV 1 and any other TWO (2).

1.
 - (a) What is a Bottom of the Pyramid (BoP) market?
 - (b) What is the strategy used to serve BoP markets?
 - (c) Give a typical example of how mobile communication service providers have implemented the BoP strategy.
 - (d) Outline the **four (4)** stages in the consultation process the regulator goes through before arriving at a strategic decision.

2. **Explain three (3)** ways by which universal access policies can be funded.

3. **Explain three (3)** circumstances that can cause regulation to be hazardous.

4. **Differentiate between interconnection and local loop unbundling.**

57. The area within the Access Model which captures high population density and higher-income citizens which have historically been well served is referred to as the

- (a) True Access Gap
- ☒ (b) Current Network Reach and Access
- (c) Smart Subsidy Zone
- (d) Market Efficiency Gap
- (e) None of the above

58. _____ regulation gives regulation its power to react reasonably in unforeseen circumstances.

- (a) *ex-parte*
- ☒ (b) *ex-ante*
- (c) *ex-post*
- (d) *Audi alteram partem*
- (e) *nemo iudex in sua causa debet esse*

59. In the mixed economy

- ☒ (a) economic problems are solved by the government and market
- (b) economic decisions are made by the private sector and free market
- (c) economic allocation is achieved by the 'invisible hand'
- (d) economic questions are solved by government departments

60. Which of the following is NOT a widely accepted regulatory objective in the telecommunication sector?

- (a) Foster competitive markets to promote local entrepreneurial initiative
- (b) Protect consumer rights, including privacy rights
- ☒ (c) Promote universal access to basic telecommunications services
- (d) Optimize use of scarce resources
- (e) Create a favourable climate to promote investment to expand telecommunications networks

53. Which of the following best describe(s) guidelines?
- (I) They are informal documents.
 - (II) They are drafted in legal language.
- (a) I only
 - ☒ (b) II only
 - (c) Both I and II
 - (d) None of the above

54. Characteristics of _____ include the removal of exclusive rights from monopoly firms and award of licences for all new services on a competitive basis.
- (a) regulation
 - (b) privatization
 - ☒ (c) liberalization
 - (d) de-regulation
 - (e) reformation

55. _____ refers to the intervention by governments in markets in order to achieve certain outcomes in those markets.
- ☒ (a) regulation
 - (b) privatization
 - (c) liberalization
 - (d) de-regulation
 - (e) policy

56. A market can accurately be described as
- (a) a place to buy things
 - (b) a place to sell things
 - ☒ (c) the process by which prices adjust to reconcile the allocation of resources
 - (d) a place where buyers and sellers meet

49. In a de-regulated industry, market forces are allowed to work with no external intervention.

(a) TRUE

☒ (b) FALSE

50. _____ regulation states, in advance, a rule that a company must obey:

(a) *ex-parte*

(b) *ex-ante*

(c) *ex-post*

☒ (d) *Audi alteram partem*

(e) *nemo iudex in sua causa debet esse*

51. Which type of regulation is vulnerable to role ambiguity among the different actors in an industry?

(a) co-regulation

(b) zero regulation

(c) formal regulation

☒ (d) self-regulation

(e) None of the above

52. Which of the following types of licences are used primarily where there is likely to be market dominance?

(a) Individual operator licences

☒ (b) Class licences

(c) Intermediate licences

(d) Consultative licences

(e) None of the above

44. Price ceilings are imposed to increase price above the free market equilibrium price
(a) TRUE
(b) FALSE
45. The maxim 'hear the other side' is expressed in Latin as
(a) *ex-parte*
(b) *ex-ante*
(c) *ex-post*
(d) *Audi alteram partem*
(e) *nemo judex in sua causa debet esse*
46. Perfect competition occurs in a market where there are many firms each selling:
(a) a unique product
(b) a capital intensive product
(c) a similar product
(d) an identical product
(e) a competitive product
47. If a price increase of good A increases the quantity demanded of good B, then good B is a
(a) substitute good
(b) complementary good
(c) inferior
(d) normal
48. Which form of regulation establishes a common and legally enforceable platform for all businesses within a sector?
(a) Competition regulation
(b) Public policy regulation
(c) Business regulation
(d) Technical standardisation
(e) Business standardisation

40. In industries with _____
with no external intervention.

- (a) co-regulation
- ☒ (b) zero regulation
- (c) formal regulation
- (d) self-regulation
- (e) None of the above

41. The availability of affordable communications services for all citizens within the community in which they live but not necessarily on an individual basis is _____.

- ☒ (a) Universal Access
- (b) Universal Achievement
- (c) Universal Assess
- (d) Universal Service
- (e) None of the above

42. The principle _____ ensures that no person can judge a case in which they have an interest.

- (a) *ex-parte*
- (b) *ex-ante*
- (c) *ex-post*
- ☒ (d) *Audi alteram partem*
- (e) *nemo judex in sua causa debet esse*

43. Which of these types of economies is vulnerable to managerial corruption?

- (a) Traditional
- ☒ (b) Command
- (c) Market
- (d) All of the above
- (e) None of the above

36. What type of rule is being applied if a regulator states, 'You must not indulge in anti-competitive practice', but determines whether a breach has taken place after the event?

- (a) *ex-parte*
- (b) *ex-ante*
- (c) ☒ *ex-post*
- (d) *Audi alteram partem*
- (e) *nemo iudex in sua causa debet esse*

37. Two linear equations *A* and *B* represent two supply curves. *A* has a slope of 2 while *B* has a slope of 3. Which of the two equations represent a more elastic supply?

- (a) *A*
- (b) *B*
- (c) ☒ All of the above
- (d) None of the above
- (e) Cannot be determined

38. All of the following are some universal access policy objectives EXCEPT

- (a) To permit full participation in 21st Century society.
- (b) To promote national political, economic and cultural cohesion.
- (c) To allocate scarce resources
- (d) To promote economic development.
- (e) ☒ None of the above

39. Which of the following refers to the radio spectrum released in the process of digital television transition?

- (a) ☒ digital divide
- (b) digital dividend
- (c) white space
- (d) spectral efficiency
- (e) None of the above

- ☒ (a) digital divide
- (b) digital dividend
- (c) white space
- (d) spectral efficiency
- (e) None of the above

35. Which one of the following does NOT occur in perfect competition?

- (a) There are many buyers.
- (b) Firms and buyers are completely informed about the prices of the products of each firm in the industry.
- (c) There are significant restrictions on entry into the industry.
- ☒ (d) Firms already in the industry have no advantage over potential new entrants.
- (e) No single firm can exert a significant influence on the market price of the good.

26. The role of regulators changes as markets become more competitive.

- (a) TRUE
- (b) FALSE

27. What type of rule is referred to as 'common sense' regulation?

- (a) *ex-parte*
- (b) *ex-ante*
- (c) *ex-post*
- (d) *Audi alteram partem*
- (e) *nemo judex in sua causa debet esse*

28. Which of the following types of licences simplify regulation?

- (a) Individual operator licences
- (b) Class licences
- (c) Intermediate licences
- (d) Consultative licences
- (e) None of the above

29. The specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies is

- (a) International Telecommunications Union
- (b) Institute of Electrical and Electronics Engineers
- (c) Institute of Telecommunication and Communication Engineers
- (d) Institute of Electrical and Electronic Engineers
- (e) World Trade Organization

30. Which of these sectors standardizes global telecommunications (except for radio)?

- (a) ITU-R
- (b) ITU-T
- (c) ITU-D
- (d) ITU-S
- (e) None of the above

- resources.
- ☒ (a) ITU-R
 - (b) ITU-T
 - (c) ITU-D
 - (d) ITU-S
 - (e) None of the above

23. An increase in price will cause a supply curve to shift to the left.

- (a) TRUE
- ☒ (b) FALSE

24. Licences may be issued to achieve all of the following objectives EXCEPT

- (a) To regulate the provision of an essential public service
- ☒ (b) To encourage privatization
- (c) To allocate scarce resources
- (d) To generate revenue for government
- (e) None of the above

25. Supply is the quantity of a good sellers wish to sell each time the market opens

- ☒ (a) TRUE
- (b) FALSE

16. The area within the Access Model which captures population and geographical areas which are still unserved, but in which services would be profitable is referred to as the

- (a) True Access Gap
- (b) Current Access Gap
- (c) Smart Subsidy Zone
- ☒ (d) Market Efficiency Gap
- (e) None of the above

17. By concentrating action on proven grievances rather than on compliance with finely detailed rules, _____ regulation is potentially efficient.

- ☒ (a) *ex-parte*
- (b) *ex-ante*
- (c) *ex-post*
- (d) *Audi alteram partem*
- (e) *nemo judex in sua causa debet esse*

18. The area within the Access Model in which services cannot be provided profitably is referred to as

- ☒ (a) True Access Gap
- (b) Current Access Gap
- (c) Smart Subsidy Zone
- (d) Market Efficiency Gap
- (e) None of the above

All the following are basic forms of regulation, EXCEPT

- ☒ (a) Technical standardisation
- (b) Public policy regulation
- (c) Competition regulation
- (d) Consumer protection regulation
- (e) None of the above

- telecommunication sector in India is:
- ☒ (a) The ministry in charge of the telecommunication sector
 - (b) The national telecommunication regulator
 - (c) Mobile network operators
 - (d) The courts of law
 - (e) The police

14. The mission of the UN specialized agency responsible for issues concerning information and communication technologies includes all of the following EXCEPT,

- (a) coordinating the shared global use of the radio spectrum
- (b) promoting international cooperation in assigning satellite orbits
- (c) working to improve telecommunication infrastructure in the developing world
- (d) assisting in the development and coordination of worldwide technical standards
- ☒ (e) None of the above

15. Which of the following is FALSE about an industry with one monopoly firm?

- (a) Higher prices are experienced
- (b) Supply is low
- (c) Production is inefficient
- (d) Inferior goods are produced
- ☒ (e) None of the above

8. Which of the following is/are true about individuals in the Bottom of the Pyramid markets?

- (I) They are unable to spend significant sums of money.
 - (II) They have often been considered commercially unviable by large companies.
- (a) I only
- (b) II only
- (c) Both I and II
- (d) None of the above

9. What type of rules are vulnerable to becoming dated or inappropriate in a fast-moving high technology industry?

- (a) *ex-parte*
- (b) *ex-ante*
- (c) *ex-post*
- (d) *Audi alteram partem*
- (e) *nemo iudex in sua causa debet esse*

10. Which of these sectors helps spread equitable, sustainable and affordable access to information and communication technologies (ICT)?

- (a) ITU-R
- (b) ITU-T
- (c) ITU-D
- (d) ITU-S
- (e) None of the above

11. Which of the following is not one of the grounds on which a regulator's decision may be appealed?

- (a) law
- (b) procedure
- (c) logic
- (d) authority
- (e) None of the above

5. The availability of affordable communications services for all citizens on a personal basis is _____.

- (a) Universal Access
- (b) Universal Achievement
- (c) Universal Assess
- ☒ (d) Universal Service
- (e) None of the above

6. A license which sets out identical terms of operation for all businesses operating in a particular market segment can be referred to as

- (I) individual operator
- (II) class license
- (III) general authorisation

- (a) I of II
- (b) I or III
- ☒ (c) II or III
- (d) I, II or III
- (e) None of the above

7. The principles of good regulatory decision-making include all of the following EXCEPT

- (a) Transparency
- (b) Objectivism
- (c) Professionalism
- (d) All of the above
- ☒ (e) None of the above

Section A. This section is shuffled. Do not attempt to copy. Circle the correct answers in this section of the question paper and shade same on the scannable sheet.

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1. The factors that encouraged the monopoly paradigm in the telecommunication sector can be categorized as
 - (a) social, political and economic
 - (b) political and economic
 - (c) social and political
 - (d) social and economic
 - (e) None of the above
2. WTO aims at
 - (a) establishing rules for domestic trade
 - (b) restricting trade practices
 - (c) liberalising international trade
 - (d) encouraging entrepreneurs
 - (e) None of the above
3. Accounting separation enables regulators to examine whether a dominant operator is favoring its own retail business over its competitors.
 - (a) TRUE
 - (b) FALSE
14. The following are instruments of regulation EXCEPT
 - (a) regulations
 - (b) resolutions
 - (c) decisions
 - (d) policies
 - (e) None of the above